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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

Karen V. Gregory
Secretary
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573-0001

Subject: Docket No. 11-19, U.S. Containerized Cargo Flows - Response to NOI

Dear Secretary Gregory:

I would like to include my comments in response to the Federal Maritime Commission's Notice of Inquiry on factors that cause or contribute to the shift of cargo destined for the U.S. inland from U.S. to Canadian and Mexican seaports.

Trade between the State of Michigan and Canada is critical to Michigan's economy. In Michigan:

- 237,100 jobs depend on Canada-U.S. Trade
- 241 Canadian-owned companies in Michigan employ 26,842 people
- Total Canada-U.S. goods and services trade is \$627 billion per year
- Michigan sells more goods to Canada than to any other country in the world

Of particular importance, the automotive industry moves finished products and parts through the Canadian seaports on a daily basis. Reliable service, expeditious transit times, and cost-effective transportation for imports and exports are key to the recovery of this nation's automotive business. A disruption to this important partnership that would add costs to North American trade would be a serious blow to Michigan's economy and would have a harmful effect on businesses throughout the United States.

U.S. businesses utilize Canadian seaports for a variety of business reasons, but the U.S. Harbor Maintenance Tax does not appear to be a major factor in that determining port selection. If, as noted by the Commission's Notice of Inquiry, policymakers have concerns about the HMT, as well as concerns perhaps about the allocation of the revenues raised from that tax, we would encourage the Commission to focus on the HMT itself, rather than raise potential concerns about investment in Canadian seaport infrastructure, environmental regulations, security, or customs inspection procedures. North American geography is such that Western Canadian ports are closer to the Pacific Rim countries, while Eastern Canadian ports are closer to Europe. This can mean lower transportation costs and overall transit times for U.S. businesses using the Canadian ports. These benefits are key to the ability of U.S. businesses to compete in a global marketplace.

Thank you for the opportunity to comment on this important issue. Please include this letter in the public docket for this proceeding.

Sincerely,

A handwritten signature in black ink, appearing to read 'Richard K. Studley'.

Richard K. Studley
President & CEO